

Zalazina v Zoobert Ltd

(2013) SLR 189

MacGregor PCA, Fernando, Twomey JJA

3 May 2013

SCA 28/2011

Counsel F Elizabeth for the appellants
 F Ally for the respondents

**The judgment was delivered by
TWOMEY JA**

[1] Who owns the shares in Med Enterprises Limited? That is the million dollar question lurking in the murky depths of this case, where alleged shareholders of a Seychellois international business company who initially took advantage of the benefits of such companies, namely minimum record keeping and comprehensive confidentiality, now want the Court to publicly ascertain the identity of the beneficial owners of the company by examining those very records and breaching the coveted confidentiality.

[2] Med Enterprises Limited was incorporated in Seychelles as an International Business Company on 25 November 2005 under the International Business Companies Act 1994. The services for its offshore business were provided by FIFCO (Offshore) Services Limited, the second appellant. These included the provision of an agent and a registered office at Premier Building, Victoria. A Seychellois International Business Company is not required to disclose the identity of its shareholders without a court order; the directors may be elected at the first company board meeting; there is

no minimum capital stipulation; only one director or shareholder is required and there is no need to file accounts with the Registrar of International Business Companies.

[3] The first appellant, Tatiana Zalazina, brought an application before the Supreme Court in December 2008 asking the Court to declare her the sole beneficial owner of Med Enterprises Limited. She supported her application by affidavit and several documents: *inter alia*, the resolution by the company appointing her as sole director and the issuing of 5,000 ordinary shares of \$1.00 in her name. At the hearing, the registered agent of the company, the second appellant, appeared through its manager Paul Chow and confirmed that according to the share register held by FIFCO, the first appellant was the sole beneficial owner of the company, Med Enterprises Limited.

[4] He also gave evidence that his agent in Cyprus had informed him that several fraudulent and/or illegal share transactions had been conducted by a person or persons not authorised by the company and also without the knowledge, permission, authority or consent of the first appellant. The trial Judge, Justice Perera, hearing the application held that the Court was satisfied on a *prima facie* basis that the first appellant was the sole beneficial owner of the company and ordered that all transactions conducted for and on behalf of the company to date by any person other than the first appellant be null and void and that the second respondent not transfer, give, transmit, dispose of or otherwise deal with the records and documents in his possession in a way prejudicial or contrary to the interest of the first appellant.

[5] Less than two months later, on 18 February 2009, the respondents filed a third party opposition under ss 172–175 of the Seychelles Code of Civil Procedure praying that the Court set aside the judgment of the Supreme Court. They alleged that they were the

legitimate shareholders and directors of the company. The documents they attached to their application reveal what can only be described as an elaborate pass the parcel exercise involving the shares and directorship of Med Enterprises Limited. They averred that the first and sole director of the Company was one Stephen John Kelly who had by resolution of the company, dated 20 July 2007, resigned and appointed one Victoria Shevchuk as the sole director and that he had transferred all his shares to her. Victoria Shevchuk in turn had by resolution of the company on 3 April 2008 resigned and appointed Olga Perova as the sole director and transferred her shares onto her. In addition on 15 December 2008, by agreement of the company, Olga Perova had transferred her shares to Zoobert Limited, now the first respondent in the present appeal. The second respondent of this appeal, one Dimitry Podkilzin is the beneficial owner of Zoobert, the sole shareholder of Zoobert Limited and the third respondent, Roy Delcy the sole director of Zoobert Limited having been appointed after the resignation of Olga Perova.

[6] Both parties claimed that their derivation of title to the shares was made out by the documents they produced and each side alleged the other of fraud or illegality. It is certainly not possible that Med Enterprises Limited was incorporated on 25 November by two different persons and that its total shares issued to two different persons who both claim to be the sole director and shareholder. Somebody is not telling the truth.

[7] None of the parties led evidence at the trial of the third party opposition, relying instead on their affidavits and attached documents. The trial Judge found that the case for a third party opposition had been made out and he went to order “a retraction” of the original judgment. The appellants have now appealed this decision on seven